

trading cost environment. But unlike performance and volatility indexes, the cost index is dependent upon order size and trading strategy, in addition to actual market conditions. But it is entirely possible to report trading costs on a normalized basis.

How is the cost index constructed?

The cost index is constructed based on actual market conditions (volumes and volatility) and corresponding market impact parameters. This differs slightly from forward looking pre-trade estimates based on expected market conditions. In situations where the cost index is requested for a historical time period such as the previous five years the calculation is based on the actual market conditions over those five years and the corresponding point-in-time market impact parameters. If the market impact parameters are updated weekly the construction of the index will require five years of weekly market impact parameters. Notice that this is similar to the calculation of an index such as the SP500 index which requires the adjustment factor for changing index membership. Here the adjustment factor changes whenever there is a change to the index membership as well as when there are corporate actions affecting the valuation of the index. Many managers have begun maintaining a history of market impact parameters on a daily basis.

Cost Basis

The underlying basis for the cost index can be constructed in various ways depending upon the investment needs of the fund. The three most common are size, dollar value, and share quantity. In addition to the cost basis the cost index is dependent upon the corresponding implementation strategy. These are described below.

Size. Trading costs are computed for a specified trading rate such as 10% ADV. This is the most common representation of the cost index. A size metric is often preferred because it serves as a nice comparison point across stocks and across time. But if the stock has exhibited an increase or decrease in volumes, the size metric would no longer be a consistent basis because these share quantities would not be constant over time.

Dollar Value. Portfolio managers often request the cost indexes to be constructed for a specified dollar value such as \$10 million for a single order or possibly \$100 million or more if investing in an index or portfolio. Many portfolio managers have set dollar amounts to invest each month and are interested in the cost to transact that dollar quantity and how those costs have evolved over time. One limitation of using a dollar value,